
LUXEMBOURG 2001

1. Overview of the system

A contributory means-tested unemployment insurance can be paid for maximal 365 days in a period of 24 month. A social assistance (*Revenu Minimum Garanti*) is available only for people over 25 or for families with children. These social assistance recipients can also receive a housing aid. Universal family benefits are paid to families with dependent children. The tax system is progressive and based on the family income. The **2001 AW** earnings level is LUF 1 522 630.

2. Unemployment insurance

2.1 *Conditions for receipt*

Unemployment insurance is compulsory. The claimant has to be registered at the employment exchange, and to be available and fit for work. It is available for people aged between 16 and 64. Moreover, the claimant needs to be resident in Luxembourg.

2.1.1 *Employment conditions*

The claimant must have been employed for 26 weeks in the 12 months preceding unemployment.

2.1.2 *Contribution conditions*

Coincides with the employment condition.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

A benefit of 80 per cent of the average wage during the three months immediately preceding unemployment is increased to 85 per cent if the beneficiary has dependent children. The maximum benefit level amounts to 250 per cent of the social minimum reference salary for the first six months, 200 per cent afterwards. The social minimum reference salary is LUF 50 778 (€ 1258.75) per month (LUF 609 336 (€ 15 105.04) per year) (1.1.2001).

2.2.2 *Income and earnings disregards*

The benefit is income tested against income earned by the other partner in a couple. The gross benefit amount is reduced by 50 per cent of the amount by which the other partner's gross earnings exceed 250 per cent of the social minimum wage. The benefit is reduced if the beneficiary has earnings that exceed 10 % of the maximum benefit due.

2.3 *Tax treatment of benefit*

Unemployment benefits are taxable. The tax base is the same as that for earned income, including the work related expenses allowance.

2.4 *Benefit duration*

The maximum benefit period is 365 calendar days in a 24-month period. The benefit is paid from the first day of unemployment; there is no waiting period.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

Unemployed under 21 with completed education or less than 26 working weeks in the last 12 months are eligible for a benefit amounting to 70 per cent of the minimum wage. The benefit for unemployed without completed education under 18 years of age (16-17 years.) is 40 per cent of the minimum wage. The benefit is payable for 365 days (7 days per week) after a 39-week waiting period. The minimum wage for workers was LUF 50 778 Flux (1258,75 €/month in 2001).

2.5.2 *Older workers*

Unemployed aged 50 years old and over qualify for prolongation of the benefit period by 12, 9 or 6 months if the contribution period is 30, 25 or 20 years respectively. After 57 years of age, early retirement is possible.

3. **Unemployment assistance**

None.

4. **Social assistance**

The main element is the *Revenu Minimum Garanti* (RMG).

4.1 *Conditions for receipt*

The RMG is available to people over 25 who are unable to work, or for adults raising children. There are two distinct types of benefits.

- The “indemnité d’insertion” for recipients who are able to work 40 hours a week;
- The “complément” for those who are not able to work 40 hours a week or those for whom no adequate working measure can be found .

We do not consider the “indemnité d’insertion” in our study, but only the regular Social Assistance, RMG.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The “indemnité d’insertion” is equivalent to the minimum wage and is paid to a person who works 40 hours per week. The minimum wage in 2001 is 50 778 Flux (1258,75 €) per month, for a full time job.

The “complément” benefit is payable at a nationally uniform level in the form of a guaranteed income scheme, differentiated by family type.

Family type	RMG rate (LUF per month) (1.1.2001)	Percentage of first adult payment
First adult	36 171 Flux/ 896,66 €	100
Second adult	18 083 Flux/ 448,27 €	50
Supplementary adult	10 347 Flux/ 256,50 €	28.6
Child supplement	3 291 Flux/ 81,58 €	9.1
Impotency supplement	20 751 Flux/ 514,40 €	57.4

4.2.2 *Income and earnings disregards*

Gross income from whatever source is included in the income test, but 20 per cent of the applicable standard payment rate is disregarded. Family benefits are not considered as income for the social assistance means test.

4.3 *Tax treatment of benefit*

Taxable. The full social security contributions are payable with the “indemnité d’insertion” whereas for the complément only the sickness contribution is payable.

4.4 *Benefit duration*

Indefinite. There is no waiting period.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

People under 25 do not qualify unless they have dependent children or are responsible for a dependent person or are unable to work.

4.5.2 *Older workers*

There is no special treatment except that after 60 years the condition to be available for the labour market is no longer necessary.

5. *Housing benefits*

5.1 *Conditions for receipt*

To be receiving social assistance.

5.2 *Calculation of benefit amount*

It is the difference between the rent and 10 per cent of the amount of RMG payable. Maximum payments are LUF 5 000 (123,95 €) per month.

5.3 *Tax treatment of benefit*

Taxable, but the liability is zero (see 10.1.3).

5.4 *Allocation de chauffage.*

The Fonds National de Solidarité will grant on demand for the year 2001 a heating allowance for every resident in Luxembourg, as long as the annual gross income of the family type does not exceed the limits fixed below :

The annual gross income limits for 2001 are fixed as :

- 15016.81 euros for single person
- 22525.21 euros for a family type of 2 persons
- 26804.93 pour for a family type of 3 persons

- 31093.73 euros for a family type of 4 persons
- 35446.97 euros for a family type of 5 persons and more.

The heating allowance for 2001 is fixed as :

- 396.63 euros for a single person
- 495.79 for a family type of 2 persons
- 594.94 euros for a family type of 3 persons
- 694.10 euros for a family type of 4 persons
- 793.26 euros for a family type of 5 persons and more.

In case the above gross income limit is exceeded, the benefit of a reduced heating allowance is possible.

The heating allowance will be reduced by the equivalent amount exceeding the fixed income limits.

The heating allowance is tax and Sickness contribution and long term care contribution free.

6. Family benefits

6.1 Conditions for receipt

Family benefits are paid only to families with dependent children under 18 (or under 27 if still in education).

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family size	Rate (LUF per month) (1.1.2001)
One child	5 643 Flux/ 139,89 €
Two children	13 764 Flux/ 341,20 €
Three children	25 695 Flux/ 636,96 €
Supplement per child from the fourth one	11 925 Flux/ 295,61 €
Supplement per child aged 6-11	576 Flux/ 14,28 €
Supplement per child 12+	1 729 Flux/ 42,86 €

6.2.2 *Income and earnings disregards*

Not means-tested.

6.3 *Tax treatment of benefit*

Family benefits are not taxable.

6.4 *Treatment of particular groups*

None.

7. **Child-care benefits**

7.1 *Conditions for receipt*

Each child under 2 years of age qualifies. The parent must not be in the labour force and must look after the child at home. No employment conditions apply if the family income with one child is less than 3 times the social minimum reference salary (LUF 152 334/ € 3 776.25); with two children, less than 4 times the social minimum reference salary (LUF 203 112/€ 5 035,00); with three or more children, less than 5 times the social minimum reference salary (LUF 253 889/ € 6 293,74). There are no salary conditions if one parent has a half-time job; benefit amount is 50 per cent.

7.2 *Calculation of benefit amount*

7.2.1 *Calculation of gross benefit*

- 100 per cent: LUF 17 292/ € 428,66 per month;
- 50 per cent: LUF 8 646/ € 214,33 per month.

7.2.2 *Income and earnings disregards*

None.

7.3 *Tax treatment of benefit*

Not taxable.

7.4 *Treatment of particular groups*

None.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

There are no lone parent benefits, but lone parents can obtain a LUF 77 400 tax allowance (see Section 10).

10. Tax system

Luxembourg has a progressive tax scheme with 18 rates varying between 0 and 42 per cent in 2001. Tax calculation is based on the splitting method.

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

Tax allowances:

- professional expenses are deductible with a minimum of LUF 21 000. This minimum is deductible by default if there are not greater expenses. For income from RMG (SA), the tax allowance on professional expenses amounts to LUF 12 000. Someone who is receiving SA and is working at the same time, is eligible for the tax allowances of LUF 21000 and LUF 12000. In this case, the total tax allowance amounts to LUF 33 000. However, the amount of each tax allowance cannot exceed the amount of the related income;
- employee's travel expenses (to go to work) are deductible with a minimum of LUF 15 600 and a maximum of LUF 117 000 (the minimum amount is applied here);
- general deductions are possible at LUF 18 000;
- salaried employees' have a special deduction at LUF 24 000;
- social security contributions are deductible in their entirety, except long term care insurance.
- if both members of the couple are employees they have an extra professional allowance of LUF 180 000.
- lone parents can obtain a LUF 77 400 deduction of their taxable income.

Tax credits:

- children tax credit: LUF 36 000 per child

10.1.2 *The definition of taxable income*

The definition depends on family type, see Section 10.1.3.

Taxable income is rounded to the nearest lower multiple of 1000 before applying the tax schedule.

10.1.3 *The tax schedule*

Taxable income (LUF per year)	Tax rate (%)
0 - 390 000	0
390 000 - 459 000	14
459 000 - 528 000	16
528 000 - 597 000	18
597 000 - 666 000	20
666 000 - 735 000	22
735 000 - 804 000	24
804 000 - 873 000	26
873 000 - 942 000	28
942 000 - 1 011 000	30
1 011 000 - 1 080 000	32
1 080 000 - 1 149 000	34
1 149 000 - 1 218 000	36
1 218 000 - 1 287 000	38
1 287 000 - 1 356 000	40
1 356 000 -	42

Single persons' taxable income is taxed directly using the schedule.

- for couples taxable income is first halved. The tax liability is then calculated as for single persons, but the tax actually paid is double this amount.
- for lone parents the taxable income is reduced with 50 per cent of its complement to LUF 1 560 000, insofar as the marginal tax rate does not exceed 42%.
- Note that no local tax is paid by the worker.

10.2 *Treatment of family income*

The tax unit is the family.

10.3 Social security contribution schedule

Employees pay 2,72/ 4,95 (workers) per cent sickness and 8 per cent age pension scheme contributions of their gross earnings between LUF 50 778/ € 1 258,75 per month (LUF 609 336/ € 15 105 per year) and LUF 253 889 per month (LUF 3 046 668 per year). Long term care insurance is financed by special contribution of 1% levied on professional earnings, replacement earnings and income from property (an amount of 1/4 of the social minimum reference salary is not taken account for (Flux 12 694/€314,68).

The unemployment insurance scheme is financed through a 2.5 per cent surtax on central government income tax liability.

11. Part-time work

11.1 Special benefit rules for part-time work

Unemployment insurance benefits are reduced if part-time earnings exceed a certain percentage of the social minimum wage. Part of the earnings from part-time employment are disregarded in the social assistance means test for a period of 2 years.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced in the last year

None.

12.2 Policy changes announced

None.